Syllabus Edition
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Choosing a Suitable Type of Business Organisation

Exam code: 0450, 0986 & 0264, 0774

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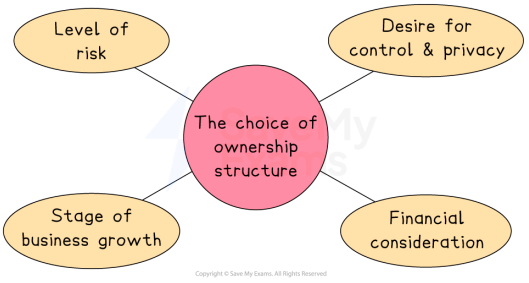
Determining a suitable ownership type

- An entrepreneur must choose the ownership structure **that suits the business needs**, **circumstances** and the **level of personal liability involved**



The choice of business ownership depends on a range of factors, including the level of personal risk owners are willing to accept and their desire for control and privacy

Factors affecting the choice of ownership structure

Level of risk

- Entrepreneurs who want to **protect their personal assets** may choose a company structure with **limited liability**
- If the business is small and the owner is willing to take personal financial risk, a **sole trader** structure may be enough.
  - For example, a builder setting up alone may accept the risk of unlimited liability, but a software company

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Desire for control and privacy

- Sole traders have full control and can make quick decisions
- Partnerships share decision-making but may have disagreements
- Companies are run by directors, decisions may be slower or involve more people and accounts need to be published
  - For example, a freelance designer may prefer to be a sole trader for full independence

Financial considerations

- Larger businesses often need more capital, which may not be possible as a sole trader or partnership
- Companies can raise money by selling shares
  - For example, a technology start-up needing finance may choose to become a private limited company to attract investors

Stage of business growth

- Businesses planning to grow quickly or expand internationally may choose a company structure to attract shareholders and funding
- Those aiming to stay small and local might prefer a simpler ownership type.
  - EFor example, a café wanting to open branches across the country may change from a partnership to a private limited company

Help me understand

Business organisation for small firms

- When starting a business, entrepreneurs often choose **simple and flexible ownership structures** that match their goals, resources and attitude to risk

Comparison of ownership types for small firms

Ownership type	Why it's a good choice	Best for
Sole trader	• Easy and cheap to set up (minimal paperwork) • Full control over decisions • Keeps all profits • No need to publish accounts	• Freelancers, tradespeople, tutors, small shop owners

	• Shared skills and responsibilities • Simple to set up • Flexible division of profits and work	lawyers), family or joint start-ups
Private limited company	• Limited liability protects personal assets • Can raise finance by selling shares • More professional image • Separate legal identity (company owns assets and signs contracts)	• Technology start-ups, online businesses, growth-focused enterprises

Case Study

Pizzazz Pizzeria

Sarah is considering setting up a new **pizza restaurant** called **Pizzazz**. She has 3 different options

- Start small as a sole trader
- Seek a partner willing to invest in the business
- Start small but register as a private limited company

Key considerations

- Sarah does not have much money
- Her sister, a chef, is looking to invest in a business
- The business plan identifies significant start-up costs, including fitting out a pizza restaurant premises

Recommendation

- A **private limited company** may be a good option, as it is relatively inexpensive to set up, provides Sarah with legal protection and may be more attractive for lenders such as banks

- As the business plan has identified significant costs, setting up as a **sole trader** is the least suitable option, as it involves personal financial risk for Sarah

Business organisation for growing firms

- As a business grows, its needs become more complex, and choosing the right ownership structure becomes even more important
- Growing businesses often require more finance, better risk management, and stronger organisational structures to support expansion

Comparison of ownership types for growing firms

Ownership type	Why it's a good choice	Example
Partnership	• Brings in **new skills or capital** by adding partners • Growth is shared, reducing pressure on one person • Still flexible and less complex than a company	• A successful accounting firm adds new partners to open offices in other cities
Private limited company	• **Limited liability** encourages investors and protects owners • Can raise finance by selling shares privately • **Separate legal identity** supports long-term growth	• A fashion brand expands into national retail by attracting private investment through share sales
Public limited company	• Can raise **large amounts of capital** by selling shares to the public	• A supermarket chain becomes a PLC to raise funds for global expansion and

	exchange • Suitable for **large-scale expansion** and global operations	

Case Study

AMF Cleaning and Maintenance Ltd

- AMF is a large, fast-growing private limited company that specialises in commercial cleaning and maintenance services
- AMF is seeking to raise finance to continue their expansion. They can either
  - Become a public limited company
  - Seek venture capital investment but remain as a private limited company

Key considerations

- If AMF **sells shares to the public**, its current owners **lose some control** of the company but gain access to a **large pool of capital**
- Money raised through share sales **does not need to be repaid**, unlike loans
- New shareholders will have **high expectations** and may pressure the business for strong short-term performance
- Becoming a PLC involves **legal and administrative costs**, including publishing financial accounts and meeting stock exchange requirements

Recommendation

- If AMF aims for **rapid national or international expansion** and needs **substantial long-term funding**, becoming a **public limited company** may be the most suitable option
  - This would allow them to raise large amounts of capital by selling shares to the public
- However, if AMF prefers to **keep tighter control** over decision-making and avoid the pressures of public shareholders, seeking **venture capital** while remaining a private limited company could be a better solution

Examiner Tips and Tricks

Don't simply describe each business type – exam questions expect you to **recommend and justify** the most appropriate option for the scenario, considering factors like liability, finance, and control

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